
Introduction to Economics

Class 4 — Positive and normative economics; Block 1 wrap-up

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Plan for today

Warm-up: Monday's question

A rent cap in Catalonia

Positive and normative

The advisor's job

Break — find your project group

The project; your groups

Why economists disagree

Block 1 in one picture

Before Monday

Warm-up — Monday's question

Monday ended with two sentences. Which of them could data show to be wrong?

A) “Spain exports olive oil.”

B) “Spain should export more olive oil.”

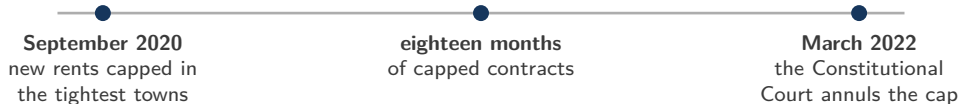
C) Both

D) Neither

Explaining and advising

Two jobs an economist is asked to do

September 2020: Catalonia capped rents. What happened next?



Did rents fall?
Were fewer flats let?
Should the cap have stayed?

Catalonia's Llei 11/2020, in force from September 2020; annulled by the Constitutional Court in March 2022.

Revealed in class

Before class: for each of the three questions, say what you would measure — and which one has nothing to measure.

Explain, then advise: two kinds of sentence

Positive

the scientist: how things are

- Describes or predicts
- Evidence can confirm or refute it
- Can be false

Normative

the advisor: how things should be

- Recommends
- Rests on values
- No evidence settles it

“Rents fell”: **positive**. “The cap should have stayed”: **normative**.

A positive statement can be false

“Spain has the lowest unemployment in the EU.”

Positive: a claim about the world, and checkable.

And false: in 2025 Spain's rate was the *highest* in the EU (10.5 %).

Testable is not the same as true.

Eurostat, annual unemployment rates 2025: Spain 10.5 %, the highest of the 27 member states.

In pairs: positive or normative?

- A Barcelona's metro should be free for students.
- B A rent cap cuts the number of flats for rent.
- C Spain's minimum wage is too low.
- D A 1,500-euro minimum wage would cost 100,000 jobs.
- E It is unfair that rents rise faster than wages.
- F Most economists think tariffs raise prices.

Three minutes. One verdict per pair on each claim — and the word that decided it.

One sentence, two claims

**“Barcelona should ban tourist flats,
because they push up rents.”**

The advisor's job: take the question apart

“Should Barcelona cap rents?” Write the questions evidence could settle — and the one it cannot.

Four minutes, in pairs. Then we compare.

Break

Ten minutes

Find your project group of 2–3. Sit together afterwards.

The project: economics around you

Something you can see for yourself + one idea from the course

good

“Why does the menú del día cost more near Passeig de Gràcia than in Sants?”

too big

“Inflation in Spain”

question

25 %

economics

25 %

evidence

25 %

poster

25 %

20 % of the grade · groups of 2–3 · one A2 poster, one presenter

Project groups: today

- Groups of 2–3, formed now; names to me
- Monday 5 October: sign up in class for a 6-minute slot
- The day before your slot: your idea in one paragraph, by e-mail
- Idea meetings: Thursday 8 October, after class
- Topic fixed 15 October · poster session 5 November
- Full brief on the course page



course page

Why economists disagree

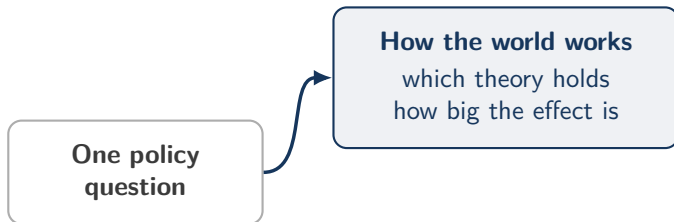
Judgement, values — and what the public thinks

Two reasons to disagree

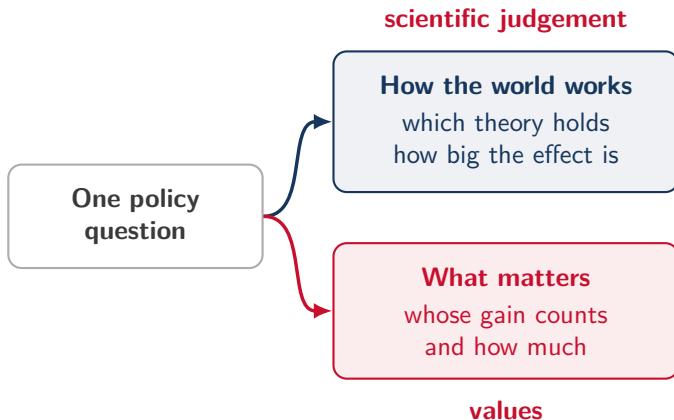
**One policy
question**

Two reasons to disagree

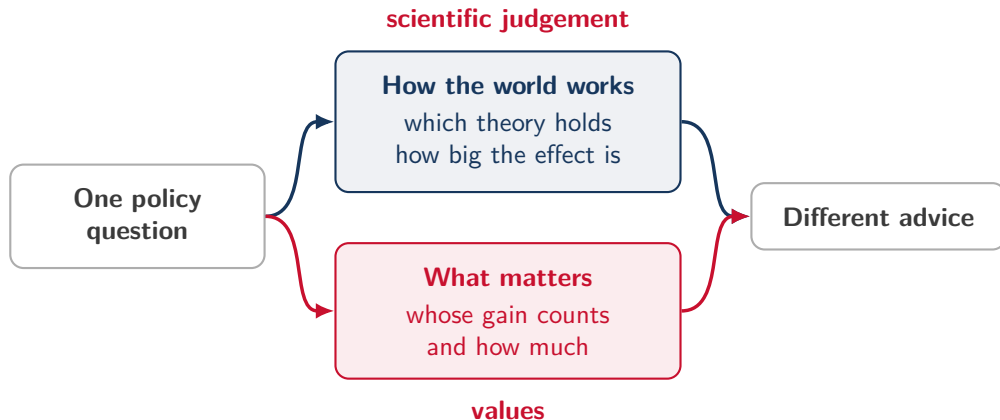
scientific judgement



Two reasons to disagree



Two reasons to disagree



Evidence can settle the first, in time. Nothing settles the second.

Judgement: where careful studies can differ

- Covid hit at the same time: how to separate the two?
- Which towns to compare with
- Which flats: all, or only those above the cap?
- Each choice moves the number

Disputes of this kind are about facts. More evidence can end them.

Values: agreed numbers, opposite advice

Suppose the numbers were settled: rents down, some flats gone.

Keep the cap

tenants with a flat pay less

Drop the cap

those still looking find fewer flats

Same numbers. Different weight on the tenant who has a flat and the one who needs one.

Revealed in class

Before class: write down your guess of the share of leading US economists who agree that rent caps have improved the supply of affordable housing — and the share who agree that freer trade's gains far exceed its job effects.

In pairs: judgement or values?

- 1 “A 5-euro tourist tax cuts visitors by 2 %.” — “No, by 10 %.”
- 2 “Fewer tourists are worth the lost jobs.” — “No, they are not.”
- 3 “Capped landlords will sell up.” — “No: where else would the money go?”

Two minutes. Which disputes could a study end?

Block 1 in one picture

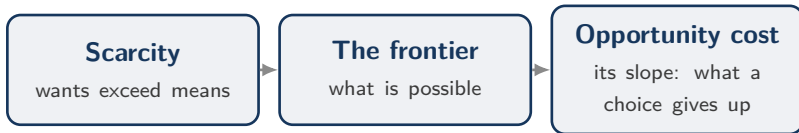
Classes 1 to 4, and where Block 2 starts

What is possible, what it costs, and what we may say about it

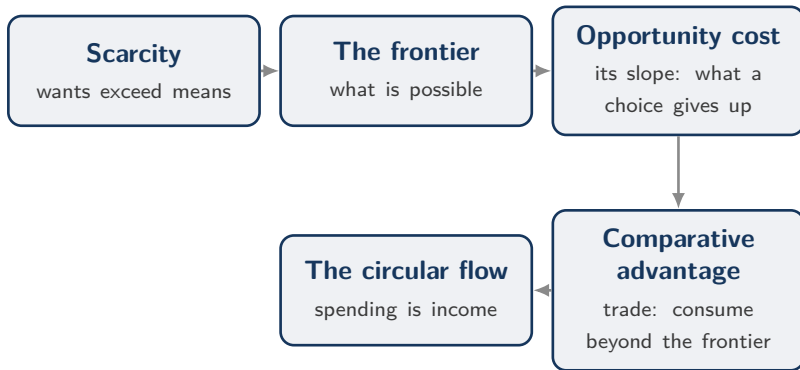
Scarcity

wants exceed means

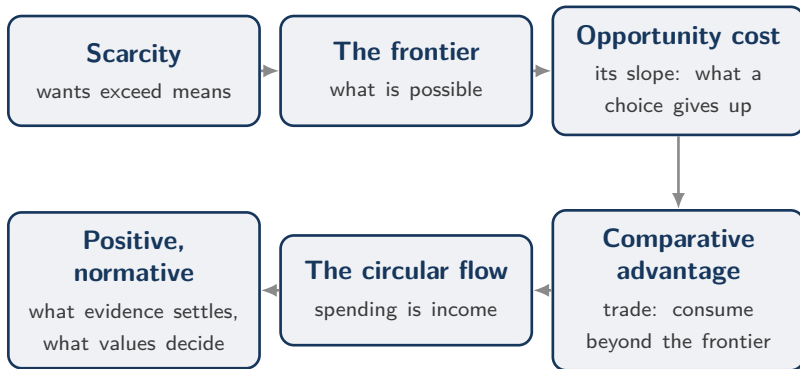
What is possible, what it costs, and what we may say about it



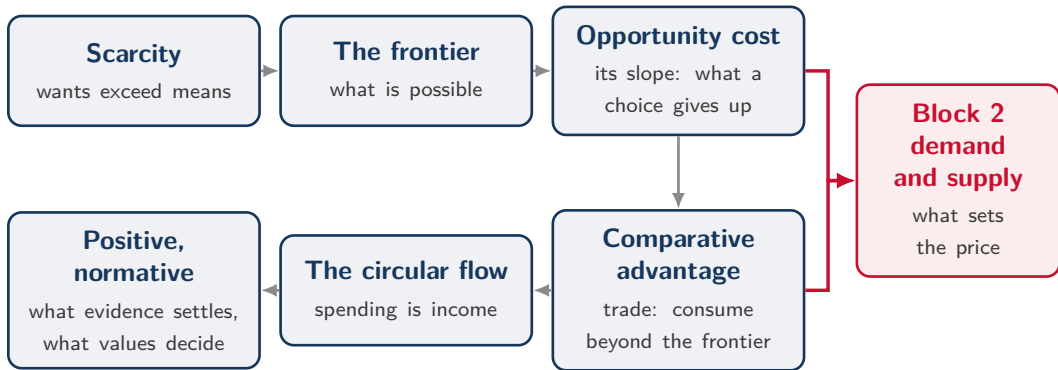
What is possible, what it costs, and what we may say about it



What is possible, what it costs, and what we may say about it

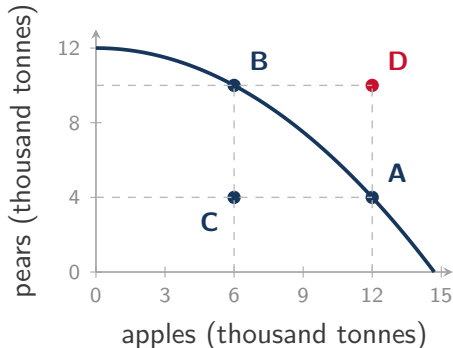


What is possible, what it costs, and what we may say about it



Classes 1–4: what is possible and what it costs. Monday: what sets the price.

In pairs: one island, one frontier, five claims



- 1 D cannot be produced this year.
- 2 The island should produce at B, not A.
- 3 At C, the island could grow more of both.
- 4 A to B costs 3,000 tonnes of apples.
- 5 With trade, it can consume beyond the frontier.

Four minutes. Positive or normative? If positive: does the graph make it true or false?

Before Monday 5 October

- Read Mankiw & Taylor, Ch. 3, pp. 33–44 — the competitive market, demand, shifts versus movements, supply
- Practise Block 1 in Sextant: the units for Classes 2 and 3
- Project: the sign-up sheet goes round on Monday; the full brief is on the course page
- Monday 5 October — Block 2 begins: demand and supply



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